NVIDIA Corporation

Strong Execution on Blackwell Ramp Drives Beat-and-Raise; Lingering Concerns Over CY27 Growth Outlook Are Likely Overblown; Reit OW

Overweight

NVDA, NVDA US
Price (25 Feb 26):$195.56

▲ **Price Target (Dec-26):$265.00**
Prior (Dec-26):$250.00

By most measures, NVDA delivered a solid set of results and guidance that landed squarely ahead of Street and buy-side expectations, most notably with F1Q (Apr-Qtr) revenue coming in ~$5B ahead of Street consensus and ~$4B north of buy-side bars, and near-term GM guidance remaining firmly at a mid-70s% level. NVDA is clearly firing on all cylinders, both internally and across its vast supply chain, as it continues to ramp Blackwell production (GB200+GB300) while simultaneously preparing for the imminent ramp of its Vera Rubin platform (on track for C2H26). Even so, the stock response suggests investors were left wanting more, which we think is tied to continued uncertainty around the growth trajectory for NVDA's Data Center business in CY27, given massively expanded capex budgets for key customers (aggregate capex for the top 5 US hyperscalers is now forecast to grow ~70% Y/Y to $650B+ in CY26) alongside significantly compressed FCF profiles. Taking a step back though, with the stock trading at ~19x pre-call Street CY27E EPS, NVDA to us looks like a coiled spring that has been tightened even further post this set of results. Fundamentally, (1) existing backlog and visibility has led mgmt to confirm that quarterly revenue will continue to grow on a sequential basis through the remainder of FY27/CY26; (2) inference-driven demand for compute has been explosive, with agentic AI being the latest demand vector driving exponential growth in token generation (recent sharp increases in spot pricing for cloud instances of non-leading-edge GPUs suggests to us that the supply-demand gap is widening - see here); (3) token generation is driving revenue growth for hyperscalers and AI labs, all of which are deeply partnered with NVDA on multi-year, multi-generational infrastructure build-outs; and (4) the adoption of agentic AI is still nascent but likely to eventually become pervasive, meaning there is still a long runway ahead for significant growth in aggregate demand for AI compute. Moreover, though mgmt did not quantify growth expectations for CY27, the team did confirm that customer discussions and bookings are well underway, with no cause for concern over the growth outlook for next year. Our sense is that NVDA's order book for CY27 is quickly being filled, pointing to another year of solid revenue growth, which in turn implies continued growth in customers' capex budgets. We suspect, though, that mgmt has left a lot of "meat on the bone" for GTC next month, including additional details on NVDA's engagement with META on large-scale Grace/Vera CPU deployments (our view is that NVDA CPUs are being deployed alongside META MTIA ASIC XPUs), the incorporation of Groq's low-latency inference architecture into upcoming platforms, and perhaps an updated quantification of backlog for the next several quarters. Net, we increase our forward estimates on better-than-expected revenues and raise our PT to $265 (from our prior PT of $250). We remain Overweight NVDA.

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Key Changes (FYE Jan)

	Prev	Cur	Δ
Adj. EPS - 27E ($)	7.70	8.07	4.8%

Quarterly Forecasts (FYE Jan)

Adj. EPS ($)

	2026A	2027E	2028E
Q1	0.81	1.76	
Q2	1.05	1.92	
Q3	1.30	2.10	
Q4	1.62	2.29	
FY	4.77	8.07	

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	78	83	77	85	77
Growth	15	17	17	74	74
Momentum	31	18	29	45	64
Quality	2	2	2	3	8
Low Vol	40	61	64	60	42
ESGQ	80	92	10	23	5

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	4.9%	4.2%	10.0%	54.4%
Rel	3.4%	3.8%	7.3%	37.8%

Company Data

Shares O/S (mn)	24,483
52-week range ($)	212.19-86.62
Market cap ($ mn)	4,787,895.00
Exchange rate	1.00
Free float (%)	96.2%
3M ADV (mn)	171.40
3M ADV ($ mn)	31,367.9
Volatility (90 Day)	36
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	78|4|1

Key Metrics (FYE Jan)

$ in millions	FY26A	FY27E
Financial Estimates		
Revenue	215,938	359,545
Adj. EBIT	130,515	236,808
Adj. EBITDA	130,939	237,232
Adj. net income	116,903	195,823
Adj. EPS	4.77	8.07
BBG EPS	7.87	10.21
Cashflow from operations	102,719	163,907
FCFF	96,677	158,771
Margins and Growth		
Revenue Growth Y/Y (%)	65.5%	66.5%
EBIT margin	60.4%	65.9%
EBIT Growth Y/Y (%)	60.0%	81.4%
EBITDA margin	60.6%	66.0%
EBITDA Growth Y/Y (%)	59.7%	81.2%
Net margin	54.1%	54.5%
Adj. EPS growth	59.3%	69.1%
Ratios		
Adj. tax rate	16.1%	18.0%
Interest cover	-	-
Net debt/Equity	NM	NM
Net debt/EBITDA	NM	NM
ROE	98.8%	90.9%
Valuation		
FCFF yield	2.0%	3.3%
Dividend yield	0.0%	0.0%
EV/Revenue	21.9	12.9
EV/EBITDA	36.2	19.6
Adj. P/E	41.0	24.2

Summary Investment Thesis and Valuation

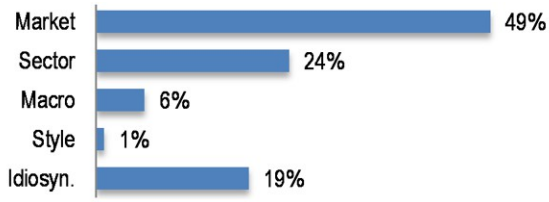
Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

Valuation

Our PT assumes NVDA trades at 26x-30x (in-line with its longer-term EPS growth rate) annualized earnings power of ~ $9.20 exiting CY26.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.86	0.73
Sect: Technology	0.75	0.72
Ind: Semicond & S Equip	0.95	0.93
Macro:		
US 10yr yield	0.32	0.27
Credit Spread	0.24	0.12
US Dollar	-0.14	-0.11
Quant Styles:		
LowVol	-0.52	-0.45
DivYld	-0.46	-0.38
Growth	0.34	0.37

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Networking drives revenue beat in F4Q26 (Jan-Qtr) on continued strong momentum across product portfolio; Compute revenue growth still solid (~20% Q/Q growth) but slightly lighter than expectations.** NVDA reported F4Q26 revenue of $68.1B (+20% Q/Q), above consensus of $65.9B, with EPS of $1.62 also coming in ahead of Street ($1.53). Gross margin slipped slightly to 75.0% from 75.2% in F3Q, though F4Q non-GAAP GM includes a 10 bps impact from the inclusion of share-based compensation - representing a shift to a more conservative approach to reporting for NVDA. GM was still above Street consensus of 74.7%. Data Center sequential revenue growth was again strong at +22% Q/Q, with Y/Y growth showing continued acceleration (+75% Y/Y vs. +66% Y/Y in F3Q). DC revenue came in ~$2B above Street expectations, though the beat was not driven by Compute (which actually landed slightly short of consensus) but instead by Networking, which was up 34% Q/Q (+263% Y/Y) on continued strength in scale-up (NVLink) and scale-out (InfiniBand and Spectrum-X), both of which grew double-digits% Q/Q. GB200/GB300 rack systems accounted for ~2/3rds of DC revenue in F4Q (~$42B), implying rack shipments in the range of ~12k (as we had previewed), assuming a 75%/25% mix of GB300/GB200 (up from ~67%/~33% in F3Q).
- **F1Q27 (Apr-Qtr) revenue guidance of $78B lands well above expectations, underpinned by strong execution on GB200/GB300 ramp.** F1Q27 (Apr-Qtr) revenue was guided to $78B, well ahead of Street $72.8B (and buyside bogeys), implying a continuation of improving Y/Y growth trends (+77% Y/Y at the mid-point of guidance). We expect growth to again be driven by Data Center (which we model as $73.7B or +18.5% Q/Q), underpinned by estimated 10%+ Q/Q growth in GB200/GB300 rack shipments coupled with further mix-shift towards GB300 (driving higher blended ASP). We expect Networking revenue to remain buoyant but for Q/Q growth to moderate slightly following strong growth in F4Q (still yielding a strong attach rate of ~21% relative to Compute revenue - consistent with F4Q). Importantly, gross margin was guided to 75% (again including a 10 bps negative impact from the inclusion of SBC), above consensus (74.7%) and consistent with expectations laid out by management in recent quarters.
- **Increasing forward estimates and raising PT to $265.** We increase our forward estimates on better-than-expected revenues and raise our PT to $265 (from our prior PT of $250). We remain Overweight NVDA. Our PT assumes NVDA trades at 26x-30x (in-line with its longer-term EPS growth rate) annualized earnings power of ~ $9.20 exiting CY26.

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Table 1: NVIDIA F4Q26 (Jan-Qtr) Earnings and F1Q27 (Apr-Qtr) Outlook

$ in millions, except per share data

	F4Q26 (Jan-Q)				F1Q27E (Apr-Q)	
	Actual	JPM Est	Diff	Consensus	Guidance	Consensus
Revenue ($M)	$68,127	$66,043	$2,084	$65,912	$78,000	$72,778
Q/Q Change	19.5%	15.9%	3.7%			
Gross Margin (excl SBC)	75.2%	75.0%	0.2%	74.7%	75.0%	74.7%
Op Margin (excl SBC)	67.4%	67.4%	0.1%			
Proforma EPS (excl SBC)	$1.62	$1.53	$0.09	$1.53		$1.68

Source: Company reports and J.P. Morgan estimates

Table 2: Reporting Segment Summary for F4Q26 (vs. F3Q26)

$ in millions

	F3Q26	F4Q26	Q/Q	Y/Y	% of Revs
Graphic	$6,098	$6,476	6%	97%	10%
Compute & Networking	$50,908	$61,651	21%	71%	90%
Total	**$57,006**	**$68,127**	**20%**	**73%**	

Source: Company reports

Table 3: End Market Segment Summary for F4Q26 (vs. F3Q26)

$ in millions

	F3Q26	F4Q26	Q/Q	Y/Y	% of Revs
OEM & Other	$174	$161	-7%	28%	0%
Gaming	$4,265	$3,727	-13%	47%	5%
Pro Vis	$760	$1,321	74%	159%	2%
Data Center	$51,215	$62,314	22%	75%	91%
Automotive	$592	$604	2%	6%	1%
Total	**$57,006**	**$68,127**	**20%**	**73%**	

Source: Company reports

Balance Sheet and Cash Flow

During the Jan-Qtr, the company generated cash flow from operations of $36.2B (vs. $23.8B in the Oct-Qtr) and exited the quarter with $62.6B in cash, cash equivalents, and marketable securities (vs. $60.6B in the Oct-Qtr).

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Appendix I: Comp and Group Valuation

Table 4: Semiconductor Comp and Group Valuation Table

	JPM Rating	Market Cap	2/25/26 Price	Non-GAAP EPS C25E	Non-GAAP EPS C26E	P/E C25E	P/E C26E	Revenues C25E	Revenues C26E	P/S C25E	P/S C26E	Consensus Non-GAAP EPS C25E	Consensus Non-GAAP EPS C26E	Consensus Revenues C25E	Consensus Revenues C26E	Consensus P/E C25E	Consensus P/E C26E	Consensus P/S C25E	Consensus P/S C26E
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PC Semiconductors																			
INTC	UW	$227,649	$46.88	$0.43	$0.61	110.0x	76.5x	$52,853	$54,804	4.3x	4.2x	$0.42	$0.52	$52,980	$53,755	111.6x	90.5x	4.3x	4.2x
NVDA	OW	$4,777,922	$195.56	$4.77	$8.07	41.0x	24.2x	$215,938	$359,545	22.1x	13.3x	$4.69	$7.69	$208,459	$334,406	41.7x	25.4x	22.9x	14.3x
AMD	N	$347,708	$210.86	$4.18	$6.80	50.4x	31.0x	$34,639	$46,355	10.0x	7.5x	$4.17	$6.69	$34,829	$46,717	50.6x	31.5x	10.0x	7.4x
Memory																			
MU	OW	$488,202	$429.00	$11.27	$39.82	38.1x	10.8x	$42,312	$84,786	11.5x	5.8x	$13.59	$43.23	$46,404	$89,473	31.6x	9.9x	10.5x	5.5x
WDC	OW	$110,852	$290.95	$6.93	$10.35	42.0x	28.1x	$10,734	$14,001	10.3x	7.9x	$6.93	$11.11	$10,567	$13,898	42.0x	26.2x	10.5x	8.0x
Enterprise/Networking/Datacenter Semiconductors																			
MRVL	OW	$69,891	$80.92	$2.84	$3.76	28.5x	21.5x	$8,200	$10,225	8.5x	6.8x	$2.78	$3.38	$8,117	$9,808	29.1x	23.9x	8.6x	7.1x
AVGO	OW	$1,624,664	$332.31	$7.24	$12.66	45.9x	26.3x	$68,111	$115,240	23.9x	14.1x	$7.10	$11.18	$66,667	$105,831	46.8x	29.7x	24.4x	15.4x
ALAB	OW	$19,940	$128.15	$1.84	$2.28	69.7x	56.1x	$853	$1,295	23.4x	15.4x	$1.84	$2.40	$853	$1,340	69.6x	53.4x	23.4x	14.9x
Mobile Devices																			
SWKS	N	$9,003	$59.82	$5.87	$4.95	10.2x	12.1x	$4,054	$3,831	2.2x	2.3x	$5.87	$4.52	$3,989	$3,719	10.2x	13.2x	2.3x	2.4x
QRVO	N	$7,707	$82.36	$6.73	$5.82	12.2x	14.2x	$3,740	$3,351	2.1x	2.3x	$6.73	$6.11	$3,746	$3,378	12.2x	13.5x	2.1x	2.3x
IoT																			
SLAB	N	$6,721	$204.16	$0.92	$2.50	221.2x	81.6x	$785	$926	8.6x	7.3x	$0.92	$2.72	$772	$925	221.9x	75.1x	8.7x	7.3x
SYNA	OW	$3,190	$82.00	$4.22	$4.82	19.5x	17.0x	$1,144	$1,243	2.8x	2.6x	$4.21	$4.75	$1,136	$1,243	19.5x	17.3x	2.8x	2.6x
Analog/Microcontrollers																			
TXN	OW	$194,863	$213.90	$5.45	$6.70	39.2x	31.9x	$17,682	$19,862	11.0x	9.8x	$5.91	$6.44	$17,682	$19,516	36.2x	33.2x	11.0x	10.0x
ADI	OW	$177,389	$360.80	$8.62	$12.41	41.9x	29.1x	$11,757	$14,801	15.1x	12.0x	$8.34	$11.74	$11,532	$14,091	43.2x	30.7x	15.4x	12.6x
NXPI	N	$59,726	$235.07	$11.81	$13.85	19.9x	17.0x	$12,269	$13,551	4.9x	4.4x	$11.81	$13.79	$12,269	$13,529	19.9x	17.0x	4.9x	4.4x
MCHP	OW	$41,169	$75.47	$1.18	$2.33	64.0x	32.4x	$4,372	$5,439	9.4x	7.6x	$1.17	$2.43	$4,372	$5,465	64.5x	31.0x	9.4x	7.5x
Diversified/Consumer/Standard Components/Other																			
ON	N	$28,032	$69.68	$2.35	$2.98	29.7x	23.4x	$5,995	$6,335	4.7x	4.4x	$2.35	$2.92	$5,995	$6,279	29.7x	23.8x	4.7x	4.5x
VSH	N	$2,750	$20.11	N/A	$0.38	N/A	52.8x	$3,069	$3,375	19.0x	16.0x	($0.05)	$0.51	$3,069	$3,421	N/A	39.2x	0.9x	0.8x
MTSI	N	$19,438	$253.37	$3.71	$4.60	68.3x	55.1x	$1,021	$1,215	19.0x	16.0x	$3.71	$4.71	$1,021	$1,224	68.3x	53.8x	19.0x	15.9x
Foundries																			
GFS	N	$27,362	$48.86	$1.73	$1.81	28.3x	27.0x	$6,791	$7,198	4.0x	3.8x	$1.72	$1.81	$6,791	$7,234	28.4x	26.9x	4.0x	3.8x
OSAT																			
AMKR	OW	$12,688	$50.94	$1.51	$1.66	33.8x	30.7x	$6,708	$7,427	30.1x	25.5x	$1.50	$1.69	$6,708	$7,445	34.0x	30.2x	1.9x	1.7x
Semiconductor Capital Equipment																			
AMAT	OW	$315,565	$394.95	$9.44	$12.11	41.8x	32.6x	$28,233	$33,541	11.2x	9.4x	$9.42	$11.64	$28,335	$32,882	41.9x	33.9x	11.1x	9.6x
LRCX	OW	$314,779	$249.48	$4.90	$6.47	50.9x	38.6x	$20,561	$26,291	15.3x	12.0x	$4.90	$6.17	$20,648	$25,365	50.9x	40.5x	15.2x	12.4x
KLAC	OW	$204,176	$1,546.68	$35.45	$41.73	43.6x	37.1x	$12,745	$14,759	16.0x	13.8x	$35.45	$41.45	$12,745	$14,628	43.6x	37.3x	16.0x	14.0x
MKSI	OW	$17,402	$255.91	$7.88	$10.43	32.5x	24.5x	$3,930	$4,497	4.4x	3.9x	$7.88	$9.80	$3,931	$4,456	32.5x	26.1x	4.4x	3.9x
Chip Design Automation Software																			
ARM	OW	$140,830	$131.74	$1.72	$1.85	76.7x	71.0x	$4,671	$5,522	30.1x	25.5x	$1.72	$1.99	$4,671	$5,638	76.6x	66.3x	30.1x	25.0x
CDNS	OW	$82,382	$301.84	$7.14	$8.31	42.3x	36.3x	$5,297	$6,005	15.6x	13.7x	$7.14	$8.08	$5,297	$6,001	42.3x	37.3x	15.6x	13.7x
SNPS	OW	$85,685	$449.17	$13.73	$14.84	32.7x	30.3x	$8,008	$9,825	10.7x	8.7x	$13.48	$14.80	$7,686	$9,705	33.3x	30.4x	11.1x	8.8x
Large Cap Semi Average						**47.4x**	**29.9x**			**11.9x**	**8.5x**					**47.0x**	**31.8x**	**12.0x**	**8.8x**
Small-Mid Cap Semi Average						**50.6x**	**33.8x**			**9.7x**	**8.4x**					**50.7x**	**31.9x**	**5.1x**	**4.5x**
Semi Group Average (ex-outliers)						**36.1x**	**26.9x**			**9.4x**	**7.4x**					**30.3x**	**25.0x**	**8.1x**	**6.9x**
SOX Index			**8,467**	**186**	**311**	**45.6x**	**27.3x**			**10.1x**	**8.3x**					**45.6x**	**27.3x**	**10.1x**	**8.3x**
S&P500			**6,946**	**314**	**360**	**22.1x**	**19.3x**			**3.3x**	**3.0x**					**22.1x**	**19.3x**	**3.3x**	**3.0x**

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates. Prices as of market close on 2/25/2026.

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Appendix II: Financial Tables

Table 5: NVIDIA Income Statement

$ in millions, except per share data

$M	C23	Apr-24	Jul-24	Oct-24	Jan-25	C24	Apr-25	Jul-25	Oct-25	Jan-26	C25	Apr-26	Jul-26	Oct-26	Jan-27	C26
FY end: Jan.	F24	1Q25	2Q25	3Q25	4Q25	F25	1Q26	2Q26	3Q26	4Q26	F26	1Q27E	2Q27E	3Q27E	4Q27E	F27E
Total revenue	60,922	26,044	30,040	35,082	39,331	130,497	44,062	46,743	57,006	68,127	215,938	79,012	86,097	93,184	101,252	359,545
% Change Y/Y	*125.9%*	*262.1%*	*122.4%*	*93.6%*	*77.9%*	*114.2%*	*69.2%*	*55.6%*	*62.5%*	*73.2%*	*65.5%*	*79.3%*	*84.2%*	*63.5%*	*48.6%*	*66.5%*
% Change Q/Q		*17.8%*	*15.3%*	*16.8%*	*12.1%*		*12.0%*	*6.1%*	*22.0%*	*19.5%*		*16.0%*	*9.0%*	*8.2%*	*8.7%*	
Cost of goods sold	16,621	5,638	7,466	8,926	10,608	32,638	17,394	12,890	15,157	17,034	62,475	19,832	21,610	23,389	25,414	90,246
% Change Y/Y	*43.1%*	*121.6%*	*84.6%*	*89.1%*	*99.7%*	*96.4%*	*208.5%*	*72.6%*	*69.8%*	*60.6%*	*91.4%*	*14.0%*	*67.7%*	*54.3%*	*49.2%*	*44.5%*
% Change Q/Q		*6.1%*	*32.4%*	*19.6%*	*18.8%*		*64.0%*	*-25.9%*	*17.6%*	*12.4%*		*16.4%*	*9.0%*	*8.2%*	*8.7%*	
Non-GAAP Gross margin	72.9%	78.9%	75.7%	75.0%	73.5%	75.1%	61.0%	72.7%	73.6%	75.2%	71.2%	75.0%	75.0%	75.0%	74.9%	74.9%
GAAP Gross margin	72.7%	78.4%	75.1%	74.6%	73.0%	75.0%	60.5%	72.4%	73.4%	75.0%	71.1%	74.9%	74.9%	74.9%	74.9%	74.9%
R&D	8,674	2,720	3,090	3,390	3,714	12,914	3,989	4,291	4,705	5,512	18,497	6,112	6,612	6,876	7,152	26,752
% Total revenue	14.2%	10.4%	10.3%	9.7%	9.4%	9.9%	9.1%	9.2%	8.3%	8.1%	8.6%	7.7%	7.7%	7.4%	7.1%	7.4%
SG&A (Adj.)	2,558	756	816	858	932	3,362	1,004	1,070	1,095	1,282	4,451	1,382	1,410	1,452	1,495	5,739
% Total revenue	4.2%	2.9%	2.7%	2.4%	2.4%	2.6%	2.3%	2.3%	1.9%	1.9%	2.1%	1.7%	1.6%	1.6%	1.5%	1.6%
Operating income	33,069	16,930	18,668	21,908	24,077	81,583	21,675	28,492	36,049	44,299	130,515	51,686	56,465	61,467	67,190	236,808
% Total revenue	54.3%	65.0%	62.1%	62.4%	61.2%	62.5%	49.2%	61.0%	63.2%	65.0%	60.4%	65.4%	65.6%	66.0%	66.4%	65.9%
Opex GAAP		3,497	3,932	4,287	4,689		5,030	5,413	5,839	6,884		7,694	8,222	8,528	8,847	
Opex Non-GAAP	7,824	2,501	2,792	3,046	3,378	11,717	3,583	3,795	4,215	5,230	16,823	7,494	8,022	8,328	8,647	32,491
Opm % ex options	60.1%	68.9%	66.0%	66.0%	64.6%	66.1%	52.5%	64.4%	66.1%	67.4%	63.4%	65.4%	65.6%	66.0%	66.4%	65.9%
Interest/Other Expense	611	302	380	411	457	1,550	448	520	563	620	2,151	500	500	500	500	2,000
Pretax income	33,680	17,232	19,048	22,319	24,534	83,133	22,123	29,012	36,612	44,919	132,666	52,186	56,965	61,967	67,690	238,808
% Total revenue	55.3%	66.2%	63.4%	63.6%	62.4%	63.7%	50.2%	62.1%	64.2%	65.9%	61.4%	66.0%	66.2%	66.5%	66.9%	66.4%
Income tax	4,059	2,398	2,615	3,007	3,126	11,146	3,135	4,784	6,026	7,437	21,382	9,394	10,254	11,154	12,184	42,985
Tax rate	12.1%	13.9%	13.7%	13.5%	12.7%	13.4%	14.2%	16.5%	16.5%	16.6%	16.1%	18.0%	18.0%	18.0%	18.0%	18.0%
Net income (non-GAAP)	32,312	15,238	16,952	20,010	22,066	74,266	19,894	25,689	31,767	39,552	116,903	42,793	46,711	50,813	55,506	195,823
% Total revenue	48.6%	57.0%	54.7%	55.0%	54.4%	55.2%	43.1%	51.8%	53.7%	55.0%	51.5%	54.2%	54.3%	54.5%	54.8%	54.5%
Avg. No. of Diluted Shr	24,933	24,890	24,848	24,774	24,489	24,750	24,441	24,366	24,327	24,304	24,360	24,243	24,183	24,122	24,062	24,152
Avg. No. of Diluted Shr (non-GAAP)	24,933	24,890	24,848	24,774	24,706	24,805	24,611	24,532	24,483	24,432	24,515	24,371	24,311	24,250	24,190	24,280
EPS (Non-GAAP)	$1.30	$0.61	$0.68	$0.81	$0.89	$2.99	$0.81	$1.05	$1.30	$1.62	$4.77	$1.76	$1.92	$2.10	$2.29	$8.07
% Change Y/Y	288%	462%	153%	101%	73%	131%	32%	53%	61%	81%	59%	117%	83%	61%	42%	69%
% Change Q/Q		19%	11%	18%	11%		-9%	30%	24%	25%		8%	9%	9%	10%	

Source: Company reports and J.P. Morgan estimates

Table 6: NVIDIA Balance Sheet

$ in millions, except per share data

FY End: Jan.	Apr'24 1Q25	Jul'24 2Q25	Oct'24 3Q25	Jan'25 4Q25	Apr'25 1Q26	Jul'25 2Q26	Oct'25 3Q26	Jan'26 4Q26	Apr'26 1Q27E	Jul'26 2Q27E	Oct'26 3Q27E	Jan'27 4Q27E
Assets												
Cash and ST investment	31,438	34,800	38,487	43,210	53,691	56,791	60,608	62,556	77,030	99,167	125,713	156,355
Accounts receivable	12,365	14,132	17,693	23,065	22,132	27,808	33,391	38,466	42,998	44,961	46,614	48,425
Inventories	5,864	6,675	7,654	10,080	11,333	14,962	19,784	21,403	24,919	27,153	29,388	31,933
Prepaid and other	4,062	4,026	3,806	3,771	2,779	2,658	2,709	3,180	3,180	3,180	3,180	3,180
Total current assets	53,729	59,633	67,640	80,126	89,935	102,219	116,492	125,605	148,127	174,461	204,896	239,893
PP&E, net	4,006	4,885	5,343	6,283	7,136	9,141	9,780	10,383	11,561	12,739	13,917	15,095
Deposits and other	13,898	15,135	17,468	19,197	21,916	22,870	27,679	46,677	46,677	46,677	46,677	46,677
Goodwill	4,453	4,622	4,724	5,188	5,498	5,755	6,261	20,832	20,832	20,832	20,832	20,832
Intangible assets	986	952	838	807	769	755	936	3,306	3,306	3,306	3,306	3,306
Total assets	77,072	85,227	96,013	111,601	125,254	140,740	161,148	206,803	230,503	258,015	289,628	325,803
Liabilities												
Accounts payable	2,715	3,680	5,353	6,310	7,331	9,064	8,624	9,812	10,662	11,618	12,574	13,663
Accrued liabilities	11,258	10,289	11,126	11,737	19,211	15,193	16,452	21,352	21,352	21,352	21,352	21,352
Short-term Debt	1,250	0	0	0	0	0	999	999	0	0	0	0
Deferred revenue												
Total current liabilities	15,223	13,969	16,479	18,047	26,542	24,257	26,075	32,163	32,014	32,970	33,926	35,015
Capital lease obligations	0	0	0	0	0	0	0	0	0	0	0	0
Long-term Debt	8,460	8,461	8,462	8,463	8,464	8,466	7,468	7,469	7,469	7,469	7,469	7,469
Long-term liabilities	4,247	4,640	5,173	5,764	6,405	7,886	8,708	9,878	9,878	9,878	9,878	9,878
Total liabilities	27,930	27,070	30,114	32,274	41,411	40,609	42,251	49,510	49,361	50,317	51,273	52,362
Total stockholders' equity	49,142	58,157	65,899	79,327	83,843	100,131	118,897	157,293	181,142	207,698	238,355	273,441
Total liability and stockholders' equity	77,072	85,227	96,013	111,601	125,254	140,740	161,148	206,803	230,503	258,015	289,628	325,803

Source: Company reports and J.P. Morgan estimates

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Table 7: NVIDIA Cash Flow Statement

$ in millions

FY End: Jan.	Apr'24 1Q25	Jul'24 2Q25	Oct'24 3Q25	Jan'25 4Q25	Apr'25 1Q26	Jul'25 2Q26	Oct'25 3Q26	Jan'26 4Q26	Apr'26 1Q27E	Jul'26 2Q27E	Oct'26 3Q27E	Jan'27 4Q27E
Net income (GAAP)	14,881	16,599	19,309	22,091	18,775	26,422	31,910	42,960	42,793	46,711	50,813	55,506
Depreciation and amortization	410	433	478	543	611	668	752	811	106	106	106	106
Stock-based compensation	1,011	1,154	1,252	1,321	1,474	1,624	1,655	1,633	0	0	0	0
Excess tax benefits from stock comp												
Other adjustments	(1,791)	(144)	(116)	(1,463)	(2,100)	(2,329)	(1,310)	(4,889)	(2,000)	(2,000)	(2,000)	(2,000)
Change in working capital												
Change in Receivables	(2,366)	(1,767)	(3,561)	(5,370)	933	(5,675)	(5,583)	(5,073)	(4,532)	(1,963)	(1,653)	(1,810)
Changes in Inventory	(577)	(803)	(978)	(2,424)	(1,258)	(3,622)	(4,823)	(1,621)	(3,516)	(2,234)	(2,235)	(2,544)
Prepaid expenses and other assets	(726)	714	(714)	331	560	387	(89)	(281)	0	0	0	0
Deposits and other assets												
Accounts payable	(22)	823	1,689	867	941	1,314	(223)	1,064	(850)	(956)	(956)	(1,089)
Accrued liabilities and other liabilities	4,202	(888)	606	360	7,128	(4,053)	1,129	1,053	0	0	0	0
Other liabilities	323	(1,632)	(336)	372	350	629	332	533				
Cash Flow from operations	**15,345**	**14,489**	**17,629**	**16,628**	**27,414**	**15,365**	**23,750**	**36,190**	**32,001**	**39,664**	**44,074**	**48,169**
Purchases of marketable securities	(9,303)	(5,744)	1,386	(7,010)	(6,546)	(7,812)	(5,718)	(20,540)				
Sales and maturities of marketable securities	4,153	4,109	(4,364)	1,887	3,589	3,150	2,728	16,916				
Purchases of PP&E	(369)	(977)	(813)	(1,077)	(1,227)	(1,894)	(1,637)	(1,284)	(1,284)	(1,284)	(1,284)	(1,284)
Acquisition, net of cash acquired	(39)	(279)	(147)	(542)	(383)	(294)	(694)	(165)				
Other Investing Activities	(135)	(294)	(407)	(456)	(649)	(276)	(3,704)	(25,788)				
Cash flow from investments	**(5,693)**	**(3,185)**	**(4,345)**	**(7,198)**	**(5,216)**	**(7,126)**	**(9,025)**	**(30,861)**	**(1,284)**	**(1,284)**	**(1,284)**	**(1,284)**
Common stock issued under employee stock plans	285	0	204	0	370	0	274	0	0	0	0	0
Issue/Repurchase of common stock	(7,740)	(7,158)	(10,998)	(7,810)	(14,095)	(9,721)	(12,456)	(3,815)	(14,000)	(14,000)	(14,000)	(14,000)
Principal payments on capital leases	0	0	0	0	0	0	0	0				
Debt proceeds/borrowings	0	(1,250)	0	0	0	(21)	(24)	0				
Excess tax benefits from stock comp	0	(1,637)	(1,680)	(1,861)	0	0	0	0				
Dividends paid	(98)	(246)	(245)	(245)	(244)	(244)	(243)	(243)	(243)	(243)	(243)	(243)
Other financing activities	(1,792)	(29)	(29)	(32)	(1,584)	(1,848)	(2,429)	(2,152)	(2,000)	(2,000)	(2,000)	(2,000)
Cash flow from financing	**(9,345)**	**(10,320)**	**(12,748)**	**(9,948)**	**(15,553)**	**(11,834)**	**(14,878)**	**(6,210)**	**(16,243)**	**(16,243)**	**(16,243)**	**(16,243)**
Cash at beginning of period	**7,280**	**7,587**	**8,571**	**9,107**	**8,589**	**15,234**	**11,639**	**11,486**	**10,605**	**25,079**	**47,216**	**73,763**
Net change in cash and equivalents	307	984	536	(518)	6,645	(3,595)	(153)	(881)	14,474	22,137	26,547	30,642
Cash at end of period	**7,587**	**8,571**	**9,107**	**8,589**	**15,234**	**11,639**	**11,486**	**10,605**	**25,079**	**47,216**	**73,763**	**104,405**

Source: Company reports and J.P. Morgan estimates

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Investment Thesis, Valuation and Risks

NVIDIA Corporation *(Overweight; Price Target: $265.00)*

Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in shares, driving our Overweight rating.

Valuation

Our PT assumes NVDA trades at 26x-30x (in-line with its longer-term EPS growth rate) annualized earnings power of ~$9.20 exiting CY26.

Risks to Rating and Price Target

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

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NVIDIA Corporation: Summary of Financials

Income Statement - Annual	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**130,497**	**215,938**	**359,545**	**-**	**-**
COGS	(32,638)	(62,475)	(90,246)	-	-
Gross profit	**97,859**	**153,463**	**269,299**	**-**	**-**
SG&A	(3,362)	(4,451)	(5,739)	-	-
Adj. EBITDA	**82,007**	**130,939**	**237,232**	**-**	**-**
D&A	(424)	(424)	(424)	-	-
Adj. EBIT	**81,583**	**130,515**	**236,808**	**-**	**-**
Net Interest	-	-	-	-	-
Adj. PBT	**83,133**	**132,666**	**238,808**	**-**	**-**
Tax	(11,146)	(21,382)	(42,985)	-	-
Minority Interest	-	-	-	-	-
Adj. Net Income	**74,266**	**116,903**	**195,823**	**-**	**-**
Reported EPS	2.94	4.89	8.02	-	-
Adj. EPS	**2.99**	**4.77**	**8.07**	**-**	**-**
DPS	**0.04**	**0.04**	**0.04**	**-**	**-**
Payout ratio	1.4%	0.8%	0.5%	-	-
Shares outstanding	24,805	24,515	24,280	-	-

Income Statement - Quarterly	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	**79,012**	**86,097**	**93,184**	**101,252**
COGS	(19,832)	(21,610)	(23,389)	(25,414)
Gross profit	**59,180**	**64,486**	**69,795**	**75,837**
SG&A	(1,382)	(1,410)	(1,452)	(1,495)
Adj. EBITDA	**51,792**	**56,571**	**61,573**	**67,296**
D&A	(106)	(106)	(106)	(106)
Adj. EBIT	**51,686**	**56,465**	**61,467**	**67,190**
Net Interest	-	-	-	-
Adj. PBT	**52,186**	**56,965**	**61,967**	**67,690**
Tax	(9,394)	(10,254)	(11,154)	(12,184)
Minority Interest	-	-	-	-
Adj. Net Income	**42,793**	**46,711**	**50,813**	**55,506**
Reported EPS	1.75	1.91	2.09	2.28
Adj. EPS	**1.76**	**1.92**	**2.10**	**2.29**
DPS	**0.01**	**0.01**	**0.01**	**0.01**
Payout ratio	0.6%	0.5%	0.5%	0.4%
Shares outstanding	24,371	24,311	24,250	24,190

Balance Sheet & Cash Flow Statement	FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	43,210	62,556	156,355	-	-
Accounts receivable	23,065	38,466	48,425	-	-
Inventories	10,080	21,403	31,933	-	-
Other current assets	3,771	3,180	3,180	-	-
Current assets	**80,126**	**125,605**	**239,893**	**-**	**-**
PP&E	6,283	10,383	15,095	-	-
LT investments	-	-	-	-	-
Other non current assets	25,192	70,815	70,815	-	-
Total assets	**111,601**	**206,803**	**325,803**	**-**	**-**
Short term borrowings	0	999	0	-	-
Payables	6,310	9,812	13,663	-	-
Other short term liabilities	11,737	21,352	21,352	-	-
Current liabilities	**18,047**	**32,163**	**35,015**	**-**	**-**
Long-term debt	8,463	7,469	7,469	-	-
Other long term liabilities	5,764	9,878	9,878	-	-
Total liabilities	**32,274**	**49,510**	**52,362**	**-**	**-**
Shareholders' equity	79,327	157,293	273,441	-	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**111,601**	**206,803**	**325,803**	**-**	**-**
BVPS	**3.20**	**6.42**	**11.26**	**-**	**-**
y/y Growth	*85.5%*	*100.6%*	*75.5%*	-	-
Net debt/(cash)	(34,747)	(54,088)	(148,886)	-	-
Cash flow from operating activities	**64,091**	**102,719**	**163,907**	**-**	**-**
o/w Depreciation & amortization	424	424	424	-	-
o/w Changes in working capital	(11,877)	(15,948)	(24,339)	-	-
Cash flow from investing activities	**(20,421)**	**(52,228)**	**(5,136)**	**-**	**-**
o/w Capital expenditure	(3,236)	(6,042)	(5,136)	-	-
as % of sales	*2.5%*	*2.8%*	*1.4%*	-	-
Cash flow from financing activities	**(42,361)**	**(48,475)**	**(64,972)**	**-**	**-**
o/w Dividends paid	(834)	(974)	(972)	-	-
o/w Net debt issued/(repaid)	(1,250)	(45)	0	-	-
Net change in cash	**1,309**	**2,016**	**93,799**	**-**	**-**
Adj. Free cash flow to firm	**60,855**	**96,677**	**158,771**	**-**	**-**
y/y Growth	*125.2%*	*58.9%*	*64.2%*	-	-

Ratio Analysis	FY25A	FY26A	FY27E	FY28E	FY29E
Gross margin	75.0%	71.1%	74.9%	-	-
EBITDA margin	62.8%	60.6%	66.0%	-	-
EBIT margin	62.5%	60.4%	65.9%	-	-
Net profit margin	56.9%	54.1%	54.5%	-	-
ROE	121.4%	98.8%	90.9%	-	-
ROA	83.8%	73.4%	73.5%	-	-
ROCE	100.6%	86.4%	86.9%	-	-
SG&A/Sales	2.6%	2.1%	1.6%	-	-
Net debt/equity	NM	NM	NM	-	-
P/E (x)	65.3	41.0	24.2	-	-
P/BV (x)	61.1	30.5	17.4	-	-
EV/EBITDA (x)	58.0	36.2	19.6	-	-
Dividend Yield	0.0%	0.0%	0.0%	-	-
Sales/Assets (x)	1.5	1.4	1.4	-	-
Interest cover (x)	-	-	-	-	-
Operating leverage	128.5%	91.6%	122.5%	-	-
Revenue y/y Growth	114.2%	65.5%	66.5%	-	-
EBITDA y/y Growth	144.8%	59.7%	81.2%	-	-
Tax rate	13.4%	16.1%	18.0%	-	-
Adj. Net Income y/y Growth	129.8%	57.4%	67.5%	-	-
EPS y/y Growth	131.0%	59.3%	69.1%	-	-
DPS y/y Growth	150.0%	0.0%	0.0%	-	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Jan. o/w - out of which

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NVIDIA Corporation (NVDA, NVDA US) Price Chart

Date	Rating	Price ($)	Price Target ($)
25-May-23	OW	30.54	50
24-Aug-23	OW	47.12	60
22-Nov-23	OW	49.94	65
22-Feb-24	OW	67.47	85
23-May-24	OW	94.95	115
29-Aug-24	OW	125.61	155
21-Nov-24	OW	145.89	170
28-Aug-25	OW	181.60	215
20-Nov-25	OW	186.52	250

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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